

Why Politics and Investing Don't Mix

I THREW A HAND grenade with the very first column I wrote for the *Washington Post* back on February 6, 2011:

Washington, I'm here to tell you, politics and investing don't mix. Yep, I thought I'd begin our conversation about investing by rocking your most cherished beliefs. Many of you are active in party politics, work for government or are involved in related fields. Well, I have some bad news: Your politics are killing you in the markets.³¹⁴

By this point, you should be somewhat familiar with my mix of behavioral psychology, data analytics, statistics, and market history. I use all of these to help me make better investing decisions. As I told D.C. 15 years ago, "these are the key to learning precisely *what not to do*. While making good decisions can help your portfolio, avoiding bad ones is even more important."

We all make the same mistakes over and over. That flight-or-fight response might have helped your ancestors deal with hungry saber-toothed tigers and territorial Cro-Magnons, but it drives investors to make costly emotional decisions.

To the neuro-physiologists who research cognitive functions, when people are emotionally driven they appear to suffer from cognitive deficits that mimic certain types of brain injuries.³¹⁵ Not just partisan political junkies, but ardent sports fans, the devout, even hobbyists. Anyone with an intense emotional interest in a subject loses the ability to observe it objectively: You selectively perceive events; you ignore data and facts that disagree with your main philosophy. Even your memory works to fool you, as you selectively retain what you believe and mask memories in conflict with those beliefs.

Studies have shown that we are actually biased in our visual perception—